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Zai Lab (ZLAB.O)

Our Quick Thoughts and Expectations for Upcoming Zoci DLL3 Data at ESMO

CITI'S TAKE

ZLAB will present a poster on Zoci (DLL3 ADC) showing for the first time 1L SCLC data for the doublet (+ Atezo) and triplet (+ Atezo + chemo). We expect ~30-40 pts overall, with a meaningful fraction of 1L pts to gauge efficacy/safety. The key comps are the IMPower133 and CASPIAN trials, where ORRs were ~60-68%, PFS was ~5 months, and Gr3+ AEs were ~62-67%. Since the SoC ORR bar is not low, we expect a focus on improved PFS/durability plus reduced Gr3+ AEs, as most patients struggle with completing SoC's 4 cycles of chemo. On 1L PFS we are looking for meaningful improvement over SoC, i.e. high-single-digit months as opposed to just 1-2 add'l months. While ZLAB hasn't announced the 1L design, we anticipate the chemo-free doublet will be the likely favorite given greater potential to improve tolerability and thus extend treatment duration accruing to better efficacy vs SoC.

Additional details. Though we are not expecting brain met data in the ESMO poster, as first site of SCLC progression is frequently the brain and the 2L+ brain met responses were promising, Zoci's CNS activity could further differentiate vs. 1L SoC where brain activity is suboptimal. ZLAB is guiding to start the 1L SCLC Ph3 by YE26.

ESMO Title. ZL 1310 (DLL3 ADC) plus Atezolizumab ± Carboplatin in extensive-stage small cell lung cancer: Part 1b/1c results from Study ZL 1310.

Buy / High Risk

Price (17 Jul 26 16:00)	US\$20.20
Target price	US\$44.00
Expected share price return	117.8%
Expected dividend yield	0.0%
Expected total return	117.8%
Market Cap	US\$2,298M

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

Zai Lab

Valuation

Our 12-month target price for Zai Lab is \$44/share, derived using a discounted cash flow (DCF) analysis. We use a weighted average cost of capital (WACC) of 10% and a 0% terminal growth rate post 2035.

Risks

We rate ZLAB High Risk based on its China presence and typically volatile nature of small/mid-cap biotech stocks. Downside risks to our target price include: 1) Zai Lab's business is heavily influenced by Chinese regulatory policies and market dynamics, which could shift unexpectedly. 2) Key product launches, such as Vyvgart in gMG, underperform our expectations. 3) Key pivotal studies of in-licensed and/or internally developed assets fail.

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Appendix A-1

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Zai Lab (ZLAB)

Ratings and Target Price History Fundamental Research

Analyst: Yigal Nochomovitz, Ph.D.



	Date	Rating	Target Price	Closing Price
1	25-Oct-23 07:37:42	1H	*128.00	24.06
2	08-Nov-23 23:08:22	1H	*123.00	30.01
3	28-Feb-24 20:21:11	1H	*66.00	20.80
4	24-Oct-24 16:16:12	1H	*70.00	33.18

*Indicates Change

	Date	Rating	Target Price	Closing Price
5	28-Feb-25 06:54:30	1H	*71.00	34.64
6	10-Jun-25 16:15:00	1H	*66.00	40.00
7	08-Aug-25 14:57:30	1H	*69.00	34.96
8	07-Nov-25 02:06:00	1H	*58.00	21.90

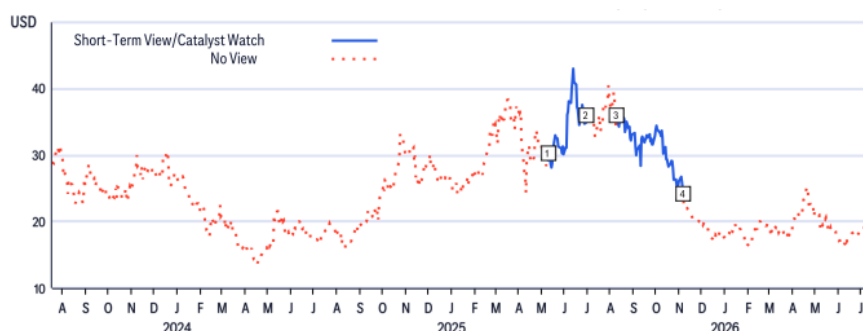
	Date	Rating	Target Price	Closing Price
9	20-Feb-26 03:09:03	1H	*53.00	20.04
10	26-Feb-26 20:16:05	1H	*47.00	19.69
11	08-May-26 01:17:53	1H	*44.00	18.60

Rating/target price changes above reflect Eastern Time

Zai Lab (ZLAB)

Short-Term View/Catalyst Watch Research

Analyst: Yigal Nochomovitz, Ph.D.



	Date	Action	Expected Direction	Duration	Closing Price
1	09-May-25 12:00:58	Add CW	Upside	90 Days	29.24
2	30-Jun-25 07:59:33	Remove CW	Upside	90 Days	34.97

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
3	08-Aug-25 10:57:30	Add STV	Upside	90 Days	34.96
4	06-Nov-25 11:05:27	Remove STV	Upside	90 Days	23.15

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	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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